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Research Briefing | Germany

2020 wage growth takes a hit from industrial recession

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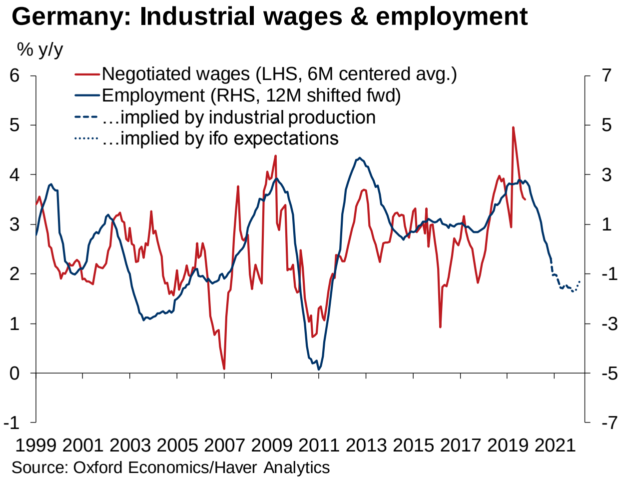
- **After topping 3% for the past two years, we expect German wage growth to slow somewhat in 2020 as wages in the recession-ridden industrial sector are bound to take a hit. But record-low unemployment will continue to prop up workers' bargaining position in other sectors. At 2.6%, nominal wage growth should remain robust, supporting a solid real consumption gain of 1.5% this year.**
- **Industrial firms have begun to reduce their workforce as the sector suffers from weak global demand, deep structural shifts in the automotive industry and low profitability. A key factor in low profitability is the 2018 wage agreement that let unit labour costs soar just as recession hit the sector. We expect the current wage negotiations to deliver a sub-1% wage deal for industrial workers in 2020.**
- **In contrast, labour demand in the rest of the economy remains strong, which should keep unemployment broadly stable throughout 2020. Even accounting for subdued productivity, our Phillips curve model points to stable wage growth of slightly over 3% outside of industry. Wage negotiations in the construction sector (April) and the public sector (August) are key in delivering on this.**

The booming labour market has been the hallmark of Germany's remarkable economic expansion over the past decade. Employment has been growing for 41 straight quarters and unemployment has fallen from over 8% ahead of the global financial crisis to a historic low of only 5%. On an internationally comparable definition, Germany enjoyed the second-lowest unemployment rate among EU countries at the end of 2019 at 3.2%. However, the German economy has been teetering on the brink of recession for the past year, forcing many firms to put their hiring plans on ice and bringing employment growth to a nine-year low at the end of 2019. Against this backdrop, we take stock of the labour market outlook for 2020 with a primary focus on the prospects for wages.

Figure 1: Payroll cuts by industrial firms point to a material slowdown in the sector's wage growth



German industry fell into a deep and protracted recession in mid-2018 and is yet to show clear signs of exiting it. Along with the onset of a structural shift in the automotive sector and its supply chains towards electric cars, this triggered a round of cuts to staffing levels. Surveys are not yet pointing to a rebound in output, which means that wage growth is set to slow materially this year and is likely to remain subdued in the near term.

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Top-down analysis points to sustained wage gains of over 3% in 2020

Over the past two years, German workers have enjoyed their largest nominal wage gains since the post-crisis recovery after 2009, with wages slightly exceeding the 3% mark in both 2018 and 2019. Negotiated wages, which are a better gauge of underlying pay growth, show that workers received among the largest raises since the mid-1990s, as negotiated pay rose 2.9% in both years (**Figure 2**).

Decomposing the wage gains using our wage Philips curve model reveals that a persistent tightening in the labour market and a pick-up in inflation were the main drivers of the acceleration in wages. This broadly confirms our view from over two years ago that labour unions would bargain harder as inflation rises, pushing wage growth to over 3%. Indeed, if it had not been for the industrial recession that triggered a collapse in productivity, wages would likely have risen even more (**Figure 3**).

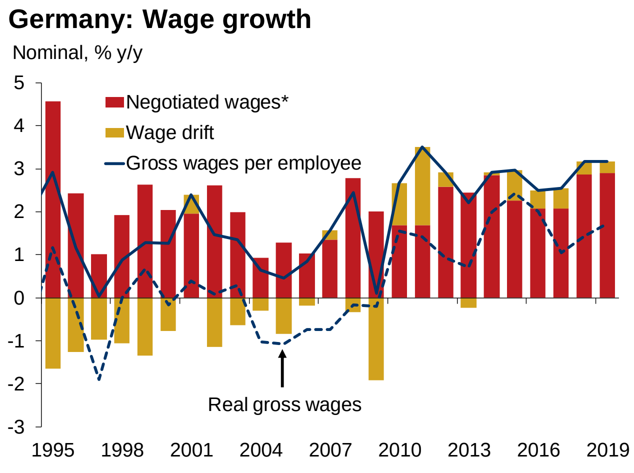
However, the labour market outlook has clearly clouded over in the past quarters. The economy slowed to a crawl in late 2019, and given the potential drag from the coronavirus and the uncertainty stemming from potential US car tariffs for German industry, we expect GDP growth to slow from 0.6% in 2019 to only 0.5% in 2020 – the lowest rate since 2013.

Yet, we expect the impact on the labour market to remain contained, with employment growth to stabilise at around 0.5%, which would keep unemployment at a low 5%.

First, employment intentions still point to a small upside risk to our forecasts in early 2020 as construction and services firms continue to look for more workers, offsetting the payroll cuts in industry (**Figure 4**). This supports our view that the domestic economy will only see limited spillovers from external and industrial weakness.

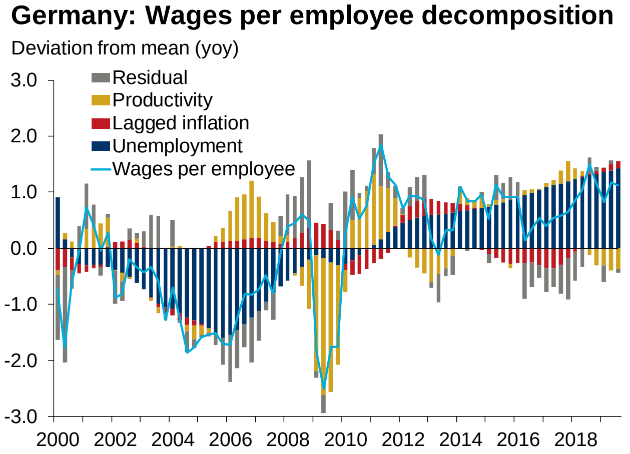
Second, research shows that the sensitivity of employment growth to cyclical gyrations has dropped sharply over the past 15 years as the share of workers in acyclical sectors, such as health care, and the use of government-supported short-time work has risen. Firms are also bound to think twice before laying off workers as the labour market is close to full employment and the demographic headwinds increasingly result in labour shortages. Even the many announced lay-offs in the automotive sector are set to only materialise over time, given the deals agreed with the works councils and against the backdrop of tough labour laws.

Figure 2: German workers enjoyed strong and fairly stable wage growth in recent years



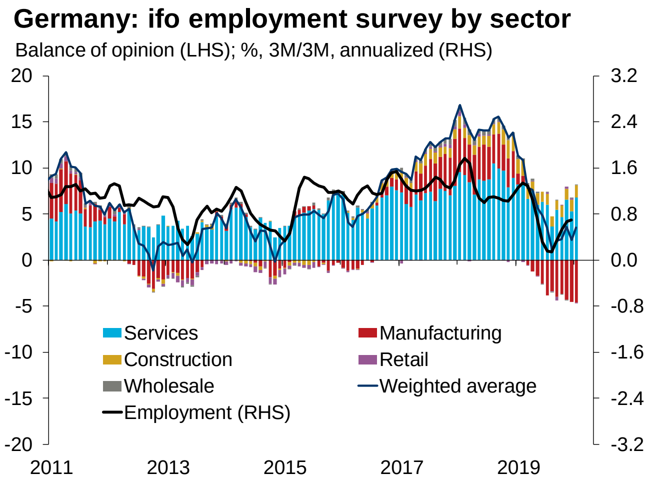
Source: Oxford Economics/Haver Analytics (*Bundesbank measure)

Figure 3: A tightening labour market offset the drag from falling productivity on wages in 2019



Source : Oxford Economics/Haver Analytics
Sample 2000 Q1 - 2019 Q3. Contributions derived as in Yellen (2015)

Figure 4: Strong labour demand in services to sustain moderate employment gains



Source: Oxford Economics/Haver Analytics

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Combining this benign labour market outlook with our views on inflation and growth would point to stable wage growth of about 3% in nominal terms and 1.5% in real terms in 2020.

Bottom-up wage forecasts suggest a moderate slowdown in pay gains to around 2.5%

However, we are wary that this top-down view is likely too rosy given the severity of the crisis in the industrial sector and the spillovers into its supply chain. A complementary bottom-up wage outlook supports our forecast that wage growth is likely to moderate somewhat this year.

On the negative side, the wage deals that were agreed last year and take effect this year point to only slightly over 2% wage growth (**Figure 5**). Also, this year's minimum wage hike only amounted to 1.7%, in contrast to a 4% jump in 2019. But our foremost worry is over the IG Metall wage deal being negotiated now, which covers large parts of German industry. We expect wages to slow materially, and we would not be surprised if a temporary pay freeze was agreed. The labour union made no numeric demands and has instead only called for a protection of workers' purchasing power, underscoring its weak bargaining position. This is not very surprising given the depth of the industrial recession (**Figure 1**), which has already triggered a moderate cut in headcount. Moreover, the sector suffers from a sharp fall in profitability (**Figure 6**) and faces huge investment needs (e.g. due to the transition to electric vehicles). A compromise could be to agree front-loaded wage growth moderation in exchange for job guarantees and the promise of delayed wage hikes.

On the positive side, there is little to suggest that firms in the more domestically-oriented sectors will be able to dissuade workers and unions from calling for hefty wage gains. Over 30% of firms in the services sector are bemoaning labour shortages and, at 23%, the proportion of firms planning to grow their workforce is nearly three times larger than those planning cuts. In line with our Phillips curve model, we think wage gains could average 3% outside of industry. Workers in the booming construction sector are very well placed given the sector's supply constraints. Indeed, their labour union demands a 6.8% pay gain.

All told, the bottom-up analysis supports our view that wages are set to slow moderately this year, but at around 2.5% they should remain robust. Combined with muted inflation, this should keep real incomes on course to rise by around 1.5% (**Figure 7**), keeping consumer spending at a steady clip.

Figure 5: Bottom-up analysis of 2020 wage round suggests around 2.5% wage growth

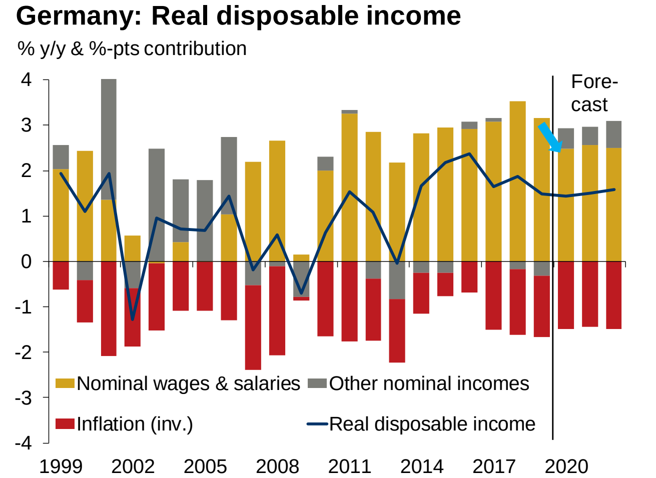
Key wage deals in 2020			
Month	**Sector**	**Share of total employment in %**	**(Expected) wage hike***
-	2019 wage hikes agreed for '20	9	2.3%
Jan.	Minimum wage hike	~3	1.7%
Mar.	IG Metall + Volkswagen	9	(0-1%)
Apr.	Construction & related	2	(>3%)
Aug.	Public sector (federal+local)	6	(~3%)
2020	Various services sectors	4	(~3%)
2020	Not directly covered by wage deals	40-50	(~3%)

Source: Oxford Economics/WSI Tarifarchiv (*ex. bonuses/one-offs)

Figure 6: Industrial profitability down sharply on back of large wage gains and sector's recession

Source: Oxford Economics/Haver Analytics (*2018/19 are estimates)

Figure 7: Robust but slightly slowing real income gains in 2020



Source: Oxford Economics/Haver Analytics

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